

Uzbekistan's SOE Landscape Across Key Sectors and Their Role in the Economy

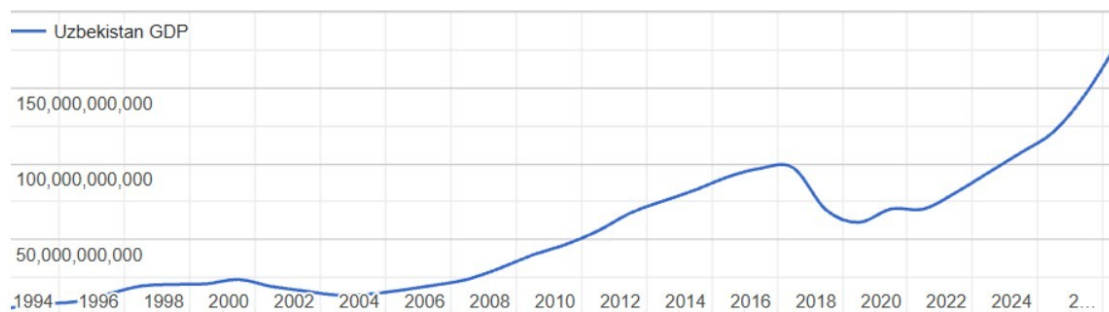
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Abstract:

Gathering cases and evidence from IMF and World Bank reporting, government resolutions, and local news coverage of individual transactions, this research aimed to analyze major SOEs' role in the economy and their current condition. Despite market-oriented reforms since 2017, the state retains a significant footprint in both competitive and natural-monopoly industries. Ongoing reforms have showed positive outcomes such as privatization of Sam Auto which brought a massive \$80 million investment provided by Anadolu Isuzu for modernization and expansion; Another example is transferring the management and operation of the Samarkand region's electricity distribution network to Turkey's Aksa Enerji under a Public-Private Partnership (PPP). However, not all privatization reforms went smoothly; for example, privatization of thermal power plants in Takhiatash and Angren failed to meet expected returns. This mixed outcome suggests that privatization is expected to succeed where the investors can capture market-based returns.

Economic Reform and Growth

Uzbekistan has made huge steps moving away from a centralized model towards a market economy. Since 2017, the government has been implementing major reforms, from currency liberalisation, taking back exclusive rights in 24 sectors, privatization of state assets, to preparations for World Trade Organization (WTO) accession. As a result, these reforms led to a massive surge, expanding the economy's output by approximately 166% in nominal terms between 2017 and 2026. [2][5]



Uzbekistan nominal GDP, 1994-2026

The IMF estimates Uzbekistan's current nominal GDP at approximately \$181.5 billion for 2026.

State Dominance Remains the Core Problem

Despite major reforms, the state still controls a range of sectors, including key areas such as transportation, utilities, and the financial system. According to reports, in 2025 the state's share in the economy stood at 42 per cent, and the number of enterprises with state participation was 1,685. [1]

Precious Metals and Mineral Resources

Precious metals and mineral resources are largely extracted by the three major SOEs: [11][16]

1. **Navoi Mining and Metallurgy Combine (NMMC)**, which deals with mining gold, silver, and uranium, is 98% owned by the Ministry of Economy and Finance as well as 2% by UzSAMA. [29][31]
2. **Almalyk Mining and Metallurgical Combine (AMMC)** will undergo a public share offering (IPO/SPO) between 2026 and 2028 as part of Uzbekistan's broader state asset privatization and economic reform program. [14]
3. **Uzmetkombinat JSC** had acted as the only enterprise authorised to purchase ferrous metal scrap and waste in the Republic of Uzbekistan until January 1, 2025. This state monopoly was abolished by Presidential Decree No. UP-85. [13][15]

Hydrocarbons and Chemicals

SOEs deal with the vast majority of hydrocarbon extraction, gas transportation, and basic chemical and fertilizer production:

1. **Uzbekneftegaz JSC**, which is the second-largest gas-producing company in Central Asia, controlled almost half of the total gas reserve fields in Uzbekistan as of 2023. [17][18]
2. **Uztransgaz JSC**, starting from 1 July 2026, is no longer the sole exporter and operator for the centralized import of natural gas from external sources.
3. **Navoiyazot** produces more than 30% of the volume of all chemical products of Uzbekistan and covers the needs of almost all industries, transport, agriculture, the fuel and energy complex. [19]
4. **Uzkimyosanoat** is a state-owned holding company that controls the country's chemical and fertilizer sector.

Energy Sector

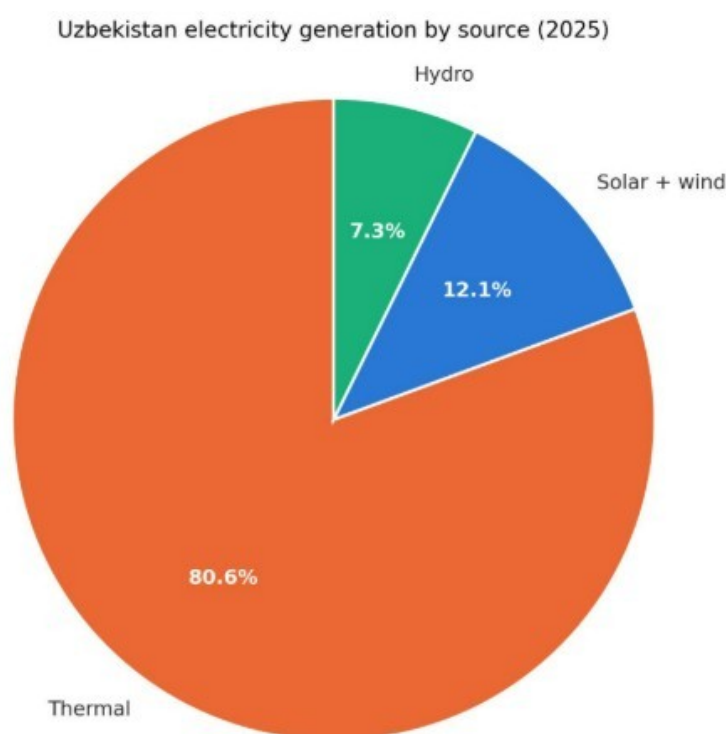
Standing at a critical moment on its development journey, Uzbekistan's energy sector is undergoing major reforms, with authorities pledging to rebuild the electricity supply system. The energy sector is consequently the largest source of greenhouse gas emissions (about 80% of national emissions). Although partial privatization processes were successful with Thermal Power Plants (JSC), the energy and utility sectors are still primarily controlled by SOEs. [3][20][21][25][26]

1. **National Electric Grid of Uzbekistan (NEGU)** is a natural monopolistic enterprise, and it acts as the single offtaker buying power from all generators, including private ones. Any private power producer in Uzbekistan has exactly one legal buyer for their electricity.

2. Regional Electric Networks, which buys electricity from NEGUs and sells it to consumers regionally, is going through major privatization reforms. Notably, in November 2025, the Samarkand electricity networks were officially transferred to the Turkish company Aksa Enerji. [22]

3. Thermal Power Plants JSC is the major producer of electricity across the entire Uzbekistan. An advisory tender for privatizing TPPs was announced back in 2022, with a plan to sell a 51% stake in 2025. The results were both successful and challenging, with partial privatization of the Talimarjan Thermal Power Plant (TPP), whereas Takhiatash TPP's privatization, announced for international auction in 2025, remains unconfirmed as completed, following the same pattern seen at Angren and Tashkent TPPs. [24]

4. Hududgaztaminot has recently lost its monopoly and opened the market for private companies to supply liquefied petroleum gas (LPG) to households and businesses.



Banking Sector

Uzbekistan's commercial banking sector is growing rapidly, with total banking assets exceeding \$71 billion with an annual asset growth of roughly 20%, fueled by a massive surge in deposits, strong capitalization, and scaling the sector with digital technologies. Although the state owns 9 out of all 35 commercial banks, which make up 26% of banks by count, those same 9 banks hold roughly 63% of total assets in the banking system in the entire economy. [27][30] In Uzbekistan's 2030 strategy, the strategic plans included raising the annual lending volume in the banking and financial system to \$40 billion, increasing bank deposits fourfold, and privatizing banks, leaving only 4 banks under state ownership and

reducing assets from 63% to 55%.

Current state-owned banks:

1. Agrobank JSCB
2. Asakabank JSCB
3. Uzsanoatkurilishbank JSC
4. Xalq Bank JSC
5. Turonbank JSCB
6. Business Development Bank JSCB
7. Aloqabank JSCB
8. Uzmilliy Bank JSCB
9. Microcreditbank JSCB

Financial and Commodity Market Sectors

1. UzEX JSC is the largest commodity exchange platform in Central Asia. All major producers and state enterprises can only sell standardized goods on UzEX through open, transparent, and competitive public auctions rather than through private, direct deals.

2. UFRD is 100% state-owned and acts as an investment project prioritizing sectors such as oil and gas, metals, chemicals, and mining. [32]

3. UzDIF is a co-investor which covers up to 49% of the project cost, with a main purpose of attracting and supporting investors.

4. The Republican Stock Exchange “Toshkent” JSC is the sole stock and bond trading platform operating in Uzbekistan.

Transport and infrastructure

1. Uzbekistan Railways JSC is a massive state-owned company that owns almost the entire rail network in the country, transporting about 90% of cargo in Uzbekistan and running nearly all passenger services across regions and abroad. Additionally, Uzbekistan Railways JSC owns PFC Lokomotiv,

2. Tashkent Carriage-Building and Repair Plant JSC is the only manufacturer in Central Asia that builds and repairs passenger railcars. The plant is undergoing ongoing privatization reforms, with a 90% stake under trust management by the Transport Engineering Centre LLC, which is linked with Ransmashholding (TMH). [33]

3. Uztemiryulkonteyner JSC operated UTY's container fleet and managed planning for domestic and international rail container transport. It was rebranded as Termiryulkargo. Partial privatization efforts were taken in November 2024, with Cotton Logistics acquiring a 35% state stake in Uztemiryulkonteyner for 200 billion UZS.

4. Uztemiryolinfratuzilma JSC was established in accordance with Resolution No. PQ-329 of the President of the Republic of Uzbekistan, dated October 10, 2023, 'On Measures for the Radical Reform of

the Railway Transport Sector of the Republic of Uzbekistan. It operates as an infrastructure operator, managing track, power, signalling, dispatch, and freight stations. [34][35][36]

5. Temiryulekspress JSC is responsible for the operations of the high-speed passenger rail company of Uzbekistan. Formed as part of the structural unbundling of "O'zbekiston Temir Yo'llari" under Presidential Decree No. PP-329, it operates as a distinct commercial unit separated from standard class trains.

7. O'ztemiryo'lyo'lovchi JSC transports more than 15 million passengers, managing conventional, long-distance passenger trains.

8. Temir yul vokzallari LLC is the company responsible for commercial development of passenger train stations across Uzbekistan.

9. Shahar atrofida yo'lovchi tashish LLC, which was created as part of the structural unbundling of the railway sector under Presidential Decree NO PP-329, was separated from "O'ztemiryo'lyo'lovchi" to focus specifically on transits with surrounding regional districts, towns, and villages.

10. Granit JSC, which produces a variety of construction materials, crushed stone, concrete, up to bread and bakery products, is also owned by Uzrailways.

11. Uzvagontamir JSC operates heavy freight car repair depots and maintenance yards. Following recent reforms, Uzbekistan encouraged private companies to own freight cars. As UTY acts as both buyer and seller of repair services, it doesn't force repair yards to compete for business.

12. Temir yul ijtimoiy hizmatlar JSC manages all social health and welfare infrastructure that belongs to Uzrailways. The primary healthcare, wellness, youth, and sport assets under the company's control include: Central Clinical Hospital of Railway Workers, Railway Children's Hospital, Nazarbek Sanatorium, Sihatgoh Sanatorium, Qo'ng'iro't Sanatorium, Yangi Avlod, Lokomotiv and Rina Med LLC.

13. Foundry and Mechanical Plant JSC is a factory located in Tashkent that produces universal gondola and freight cars along with their spare components.

14. Uzbekistan Airways JSC is the flag carrier of Uzbekistan. It holds nearly 48% of the domestic aviation market share, making it the dominant airline company. The privatization process was accelerated, and the IPO launch is planned for 2027. UzNIF manages Uzairway in partnership with Franklin Templeton.

15. Uzavtosanoat JSC has planned to offer up to 30% of its shares in a 2026 IPO. The company currently coordinates over 60 subsidiary companies. Major subsidiary companies include:

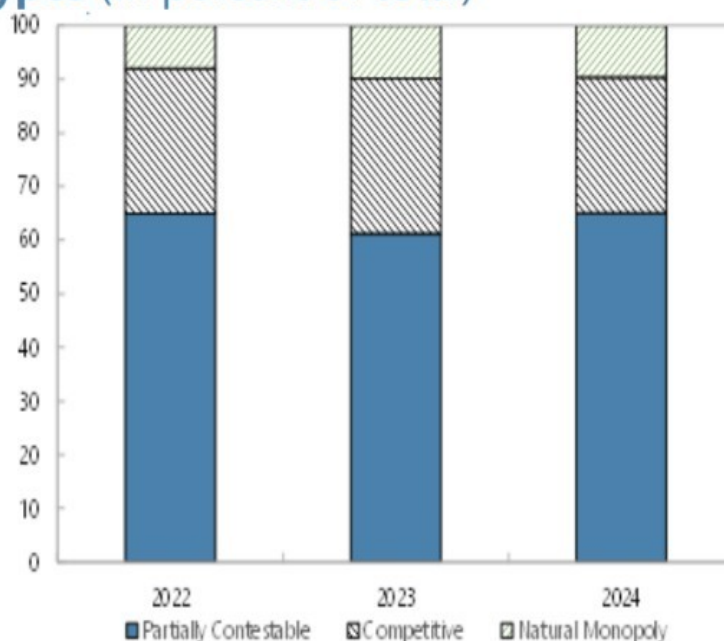
Entity	Role
1 UzAuto Motors JSC	Main auto manufacturer (Chevrolet)

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|---|--------------------------------------|--------------------------------------|
| 2 | UzAuto Motors Powertrain LLC | Engine production |
| 3 | Alyans Auto LLC (Jizzakh Auto Plant) | Light commercial vehicles, VW-linked |
| 4 | BYD Uzbekistan Factory JV LLC | NEV joint venture with BYD |

16. Uztelecom JSC is the largest mobile operator in the country. The company's planned major initial public offering (IPO) has been postponed to 2027 because of the strategy to prioritise comprehensive corporate transformation, operational restructuring, and improved governance before entering international stock markets. When it comes to previous time, Uztelecom and Uzbekinvest raised about 47.36 billion UZS during their first IPO, selling 2% of their shares. [37] Notably, the delay was announced alongside Uzbekistan Airways' IPO postponement.

According to the IMF's July 2026 report, public investment projects are largely implemented by these SOEs, which have huge influence on productivity and competitiveness. International financial organizations are advising Uzbekistan to contain domestic pressure and accelerate privatization of SOEs.

Composition of SOE Assets Across Market Types (In percent of total)



Source: State Asset Management Agency of the Republic of Uzbekistan.

Curbing State Expansion

To address these issues, President Shavkat Mirziyoyev introduced the "Yellow Pages Rule" under Presidential Decree No. UP-6019, signed 6 July 2020 and effective 1 October 2020, prohibiting the creation of new SOEs (except in defence and national security) in any market where five or more private businesses already operate. [6] Moreover, the 2023 Competition Law (ZRU-850, article 23, 24, 25) added a rule which strengthened this policy further: it required any state participation enterprise, whether newly created or being reorganized, to first obtain the Competition Committee's approval. [7][8][9]

The state also set limits on privatization and foreign control by introducing the law on State-Owned Property Management (ZRU-821, March 9, 2023), which lists assets that can only be managed by the state, including: [28]

- Land (with exceptions established by legislation), subsoil, reservoirs (including those filled by floods/snowmelt), major and especially important water management facilities, airspace, flora and fauna within Uzbekistan's territory.

- Material and cultural heritage sites, archival documents, state museums, and protected natural territories.
- Enterprises producing currency, securities, orders, medals, and postage stamps.
- Enterprises, institutions, and military-technical property (until industrial disposal, or not subject to disposal) of the Armed Forces, State Security Service, National Guard, Ministry of Internal Affairs, and the Presidential Security Service.
- Enterprises and facilities engaged in research and development, production, and sale of X-ray equipment and devices using ionizing radiation sources.
- Enterprises extracting, producing, transporting, processing radioactive elements, disposing of radioactive waste, or selling uranium and other fissile materials and products made from them.
- Enterprises developing, producing, repairing, and selling weapons and ammunition, protective equipment, military hardware, spare parts, components, pyrotechnics, and related special materials and equipment.
- Enterprises producing potent poisons, narcotic and toxic substances, and those cultivating, growing, or processing plants containing narcotic and toxic substances.
- State reserves of Uzbekistan, civil defence and mobilization-purpose objects and property.
- Any nuclear facilities such as nuclear installations, storage sites (for nuclear materials, reactor thermal insulation kits, spent nuclear fuel), nuclear fuel, spent nuclear fuel, nuclear materials (natural uranium, uranium enriched with U-235, U-233 isotope, plutonium isotopes, americium, californium, Np-237, and compounds containing these).
- Specialized enterprises transporting explosive and toxic substances.
- Public roads.
- Sanitary epidemiological stations, the Republican Center for Forensic Medical Examination, environmental monitoring and nature protection services.
- Special-purpose enterprises (the Republican Special Communications Unit, military unit, the Center for Electromagnetic Compatibility).
- Burial sites.

In Uzbekistan's 2030 promotion strategy, one of the important tasks is the formation of an effective competitive environment in vital sectors of the economy, and also removing monopolies in the market for services and goods. It requires the government to carefully manage the privatization processes of SOEs. To adapt to constantly changing markets, the authorities should implement spin-offs in relevant cases, if there is a need to clean up their finances or increase overall value. This is especially relevant for companies with non-core asset subsidiaries. Another method of running public entities efficiently is using Public-Private Partnerships (PPP). As civil servants running the company in most cases aren't compensated based on efficiency gains or cost savings, their fixed salary won't change regardless of whether the factory runs at 80% or 90% efficiency. When it comes to Public-Private Partnerships (PPPs), the private investors are directly responsible for the company's utility, and the amount of financial gain is tied to operational success. [4][10]

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